

President's Report

PSE Annual Stockholders' Meeting
02 November 2020

Ramon S. Monzon
President & CEO
The Philippine Stock Exchange, Inc.

Presentation Outline

1 Stock Market Highlights

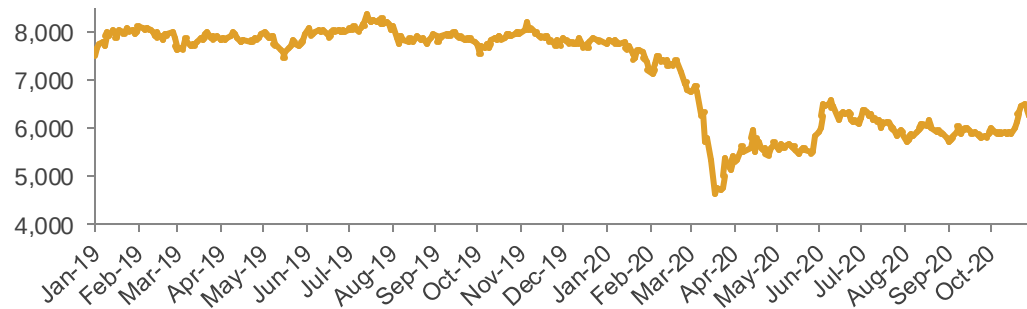
2 Capital Market Development Initiatives

3 Financial Performance

PSEi Performance

Market is steadily recovering after an unprecedented crash

PSEi 2019 to Present



30 Oct 2020: 6,324.00

vs 30 Oct 2020

2019 close 27 Dec 19

2020 lowest close 19 Mar 20

all-time high 29 Jan 18

PSEi Level

7,815.26

4,623.42

9,058.62

% change

-19.1%

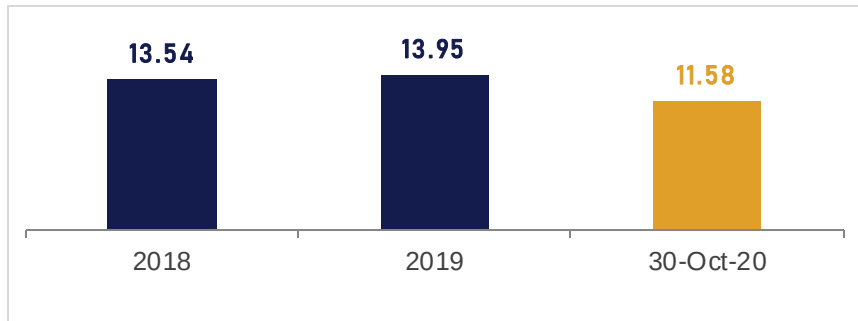
36.8%

-30.2%

Stock Market Indicators

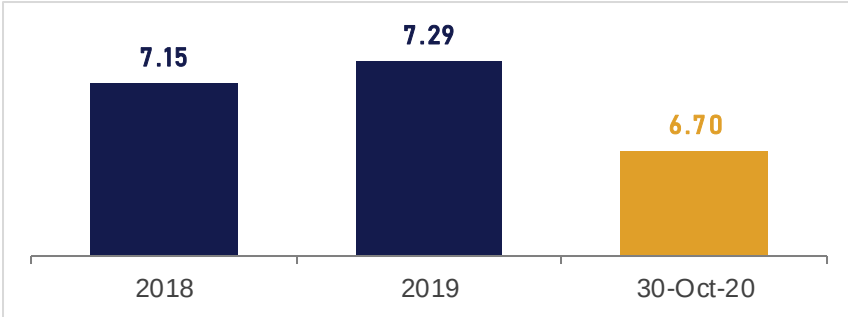
Domestic MCAP (in Php trillion)

-17.0% YTD

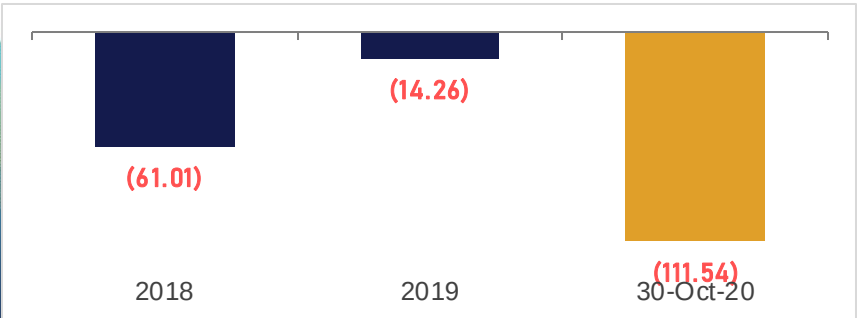


Ave. Daily Value Turnover (in Php billion)

-8.2% YTD

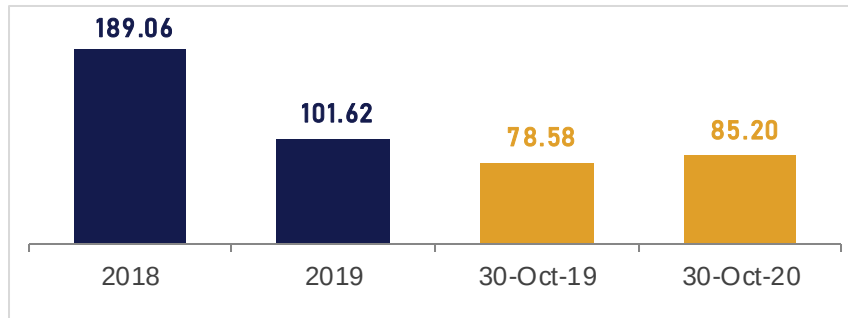


Net Foreign Transactions (in Php billion)



Total Capital Raised* (in Php billion)

+8.4% YOY



*includes proceeds from the sale of secondary shares

Implementation of measures to address market volatility resulting from the COVID-19 pandemic

PSE is vigilant in responding to the market's needs



TEMPORARY SHORTENED TRADING HOURS

Implemented shortened trading hours from 9:30am opening up to 1:00pm closing, in line with curfews in place and to align with the operational schedule of other market providers.



FLOORLESS TRADING

PSE was allowed by the IATF to reopen during ECQ on the condition that the trading floor will be closed and PSE operate on a skeletal workforce. After reopening in June, strict safety standards and protocols have been observed.



AMENDMENT OF RULE ON STATIC THRESHOLD

Reduced the lower static threshold of individual stock prices from 50% to 30% from its previous closing price. The upper static threshold of securities will remain at 50%.



MULTI-LEVEL CIRCUIT BREAKER

Introduction of three circuit-breaker levels: Level 1 at 10% decline in PSEi with 15-minute trading halt; Level 2 at 15% with 30-minute halt; and Level 3 at 20% with 60-minute halt.

Capital Market Development Initiatives



Introduce new products and strengthen stakeholder base to
ENHANCE LIQUIDITY



LEVERAGE ON TECHNOLOGY
to digitize and expand business



BECOME AN ESG CHAMPION
in the capital markets

Launch of Real Estate Investment Trusts (REITs)

Introducing a new Philippine asset class

Steady source of dividends

90% of distributable income annually distributed as dividends

Affordable real estate investments

Opportunity to buy into a portfolio of different income-producing properties at a fraction of their cost

Foreign investments

REITs are an opportunity for foreign investors to tap into the Philippine real estate market



One (1) REIT listing

AREIT, Inc. debuted on the PSE on
13 Aug 2020; more REIT listings
expected in the future

Development of more financial products and services

SHORT SELLING

Approval of GMSLA (BIR)

Approval of offshore collateral (SEC)

Approval of PDTC's application as
Securities Lending Agent (SEC)

Target launch: H1 2021

REGULATIONS FOR ALGO TRADING

Enable algorithmic trading in a
regulated environment



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NEW SECTOR CLASSIFICATION

Align structure with international
benchmarks

Increase sector indices from six to eight

Target launch: H1 2021

NEW INDICES

Develop mid-cap and high dividend index

Entice creation of new ETFs and other
index-linked funds

Target launch: H2 2021

Proposed Amendments to PSE Main and SME Board Listing Rules

Easing access to equity financing to broaden roster of listed companies



Easing listing standards for SMEs

PSE ensures that its listing requirements are at par with its regional peers

MAIN BOARD

- Removal of minimum market capitalization requirement
- Use of net income instead of EBITDA as a measure of profitability
- Imposition of minimum stockholders' equity of Php500 million as a measure of financial condition

SME BOARD

- Removal of requirement to have positive EBITDA in at least 2 of the 3 fiscal years preceding application
- Provision of alternative criterion by which an applicant may qualify for listing
- Shorter operating history requirement
- Replace the Php100 million minimum authorized capital stock requirement with Php25 million stockholders' equity requirement
- Rationalize the restriction on listing of holding companies
- Prohibition on backdoor listing



Sponsor-driven listings on the SME Board will be allowed

Suitability for listing will be evaluated by a PSE-accredited listing sponsor



COVID-19 considerations for listing applicants

Relief measures will apply to firms applying for listing on the Main or SME board

Enhanced retail participation through PSE EASy

Enabling online subscription to primary offerings

Web portal rolled out in Jun 2019; mobile app launched in Nov 2019

key stats since implementation:



SEVEN (7)

initial public offerings

KPPI | AXLM | HOME | FRUIT |
MM | AREIT | CNVRG



35,436

PSE EASy registrants

IPO subscribers are located in around
70 provinces and 30 countries



43.8%

average LSI take-up

Phase 2 in 2021:

Integration of online payment facility and extend coverage to other forms of public offerings (e.g. SROs, FOOs, RTBs)



Digital transformation of key PSE services

Leveraging technology to adapt to the new normal



New Clearing & Settlement System

The new system is expected to **go live in 2021**

Shortened settlement cycle (T+2) will be implemented **by Q1 2022**



Data Analytics Platform

Empower investors to learn and analyze data on their own

Democratize access to market data typically limited to investors that can afford expensive data platforms

Target launch: Q1 2021



e-KYC Platform

Facilitate online KYC for new stock market clients

Standardize information-sharing between investors, TPs, & regulators

Target launch: H2 2021



Online Listing Application Platform

Digitize process for listing applicants

Provide easier monitoring of documentary submissions and listing application status

Target launch: H1 2022

PSE's ESG advocacy

Recognizing the importance of sustainable business practices

SEC-PSE Corporate Governance Forum

An annual event attended which features presentations and panel discussions on recent CG-related developments, attended by publicly listed companies and CG training providers.

SEC-PSE Sustainability Workshops

Sustainable Business and Reporting – four sessions focused on the consumer & retail; financial services; oil, mining, and energy; and infrastructure sectors.

Sustainable Business Practices – participants from the aquatic, fisheries, and shipping industries

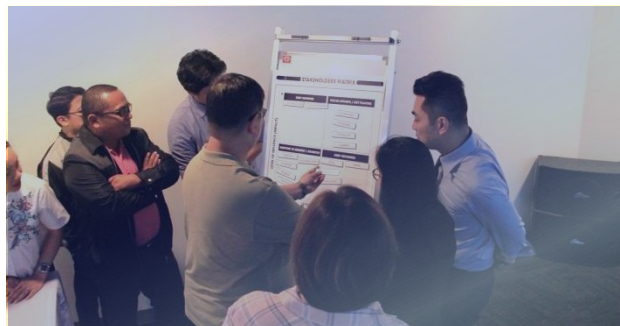
PSE Bell Awards for ESG

Global and comprehensive standards of ESG will be used as the central framework and benchmark for the new Bell Awards.

Signed MOA with SEC to secure the endorsement and collaborate with the SEC for the Bell Awards.

PSE Conducts Roundtable Discussions on Sustainability for PLCs

The first of the series of roundtable discussions was on Gender Inclusive Workforce, held on October 21. Upcoming topics are COVID-19 Response: Best Practices in the New Normal and Achieving Climate Neutrality.



Sustainability initiatives in the pipeline

Strengthening ESG commitment across our stakeholder base

EMBED ESG

best practices in internal
operations and projects

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- 01** Incorporate regular sustainability reports in compliance plans
- 02** Develop ESG index for listed companies
- 03** Align disclosure regulations with SEC Sustainability Reporting Framework

Compliance with SRC Regulations on Maximum Voting Rights for Brokers

SRC Section 33.2 on limit of broker voting rights in PSE

Conducted a stock rights offering in March 2018 of 1 share for every 6.3848 shares

Brokers and strategic investors were requested to waive their pre-emptive rights.

Raised Php2.90 billion to be used for the PDS acquisition, product development, and working capital requirements.

Buyback of 3.41 million broker-owned PSE common shares to be placed in Treasury stock

This was done from October 2019 to January 2020 and total amount expended for this buyback reached Php627.22 million.

**Total broker shareholdings with voting rights
as of end-Sep 2020**

**19.54 percent
COMPLIED**

PSE Financial Performance

Despite the pandemic, the Exchange's operations have remained resilient



Strong local investor activity reduced impact of foreign capital flight



Robust listing pipeline



Prudent management of expenses

Consolidated financial data

values in Php million

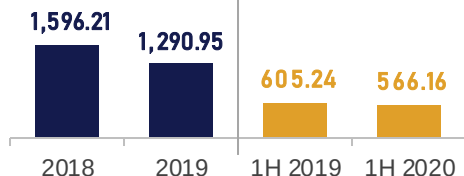
2019 vs 2018

Net income went down by 6.6 percent to P679.29 million from P727.11 million due to decrease in operating revenues. However, it was cushioned by lower total expenses and significantly higher investment and other income.

OPERATING REVENUES

2019: -19.1% | 1H 2020: -6.5%

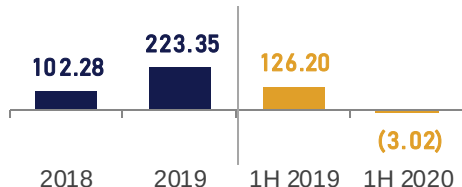
Listing-related fees, and trading and clearing fees decreased by 22.2% and 15.2%, respectively, in the first six months of 2020



INVESTMENT INCOME*

2019: +118.4% | 1H 2020: -102.4%

Lost P129.21 mn in investment income due in large part to the reversal of mark-to-market on FVPTL to a loss of Php58.92 mn in 6M 2020.

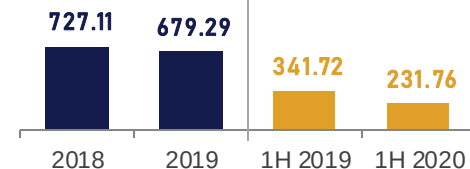


*includes mark-to-market gain (loss) on FVPTL, interest income, interest expense

NET INCOME

2019: -6.6% | 1H 2020: -32.2%

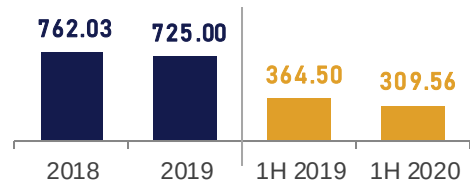
Decrease in 1H 2020 net income primarily due to the P129.21 million reduction in investment income.



TOTAL EXPENSES

2019: -4.9% | 1H 2020: -15.1%

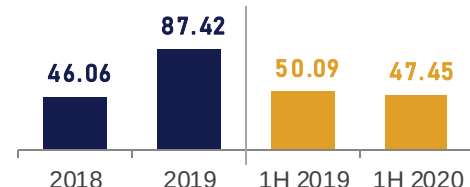
Almost all expense items declined during the first semester, led by the 23.3% drop in compensation and other related staff costs



OTHER INCOME*

2019: +89.8% | 1H 2020: -5.3%

Lower other income due to the slight decline in equity in net income of an associate and dividend income in the Jan 2020 to Jun 2020 period



*includes equity in net income of an associate, dividend income, gain (loss) on sale of property & equipment, others- net

Financial ratios

	2018	2019	1H 2020
Current Ratio	10.69	5.67	5.31
Debt to Equity Ratio	0.07	0.31	0.29
Return on Assets (in %)	11.0	10.8	3.5
Return on Equity (in %)	11.7	14.1	4.6
Earnings per Share (in Php)	8.86	8.33	2.85
*Price per Share (in Php)	180.00	175.00	167.90
Dividend per Share (in Php)	*9.00	**8.80	

*adjusted for the stock rights offering on 26 Feb 2018

*paid on 06 Mar 2018 (Php5.24 regular, Php3.76 special)

**paid on 10 May 2019 (Php4.45 regular, Php4.35 special)

Looking ahead to the future



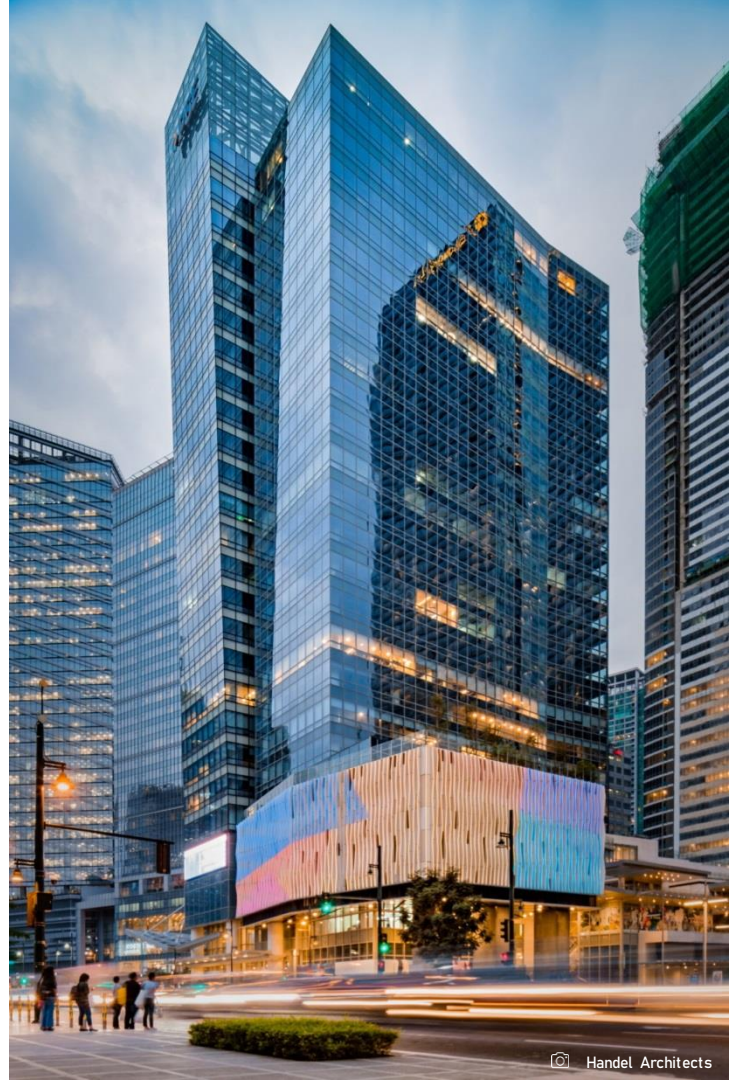
Markets have a proven track record of recovery from past crises



PSE is well-positioned to take advantage of post-pandemic opportunities



Our stakeholders remain integral to PSE's success



Thank you.



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